

Parallel Economies: The Resilience of Sudan's Informal Economic Systems During Humanitarian Intervention, 1983–1993

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In their fight for independence, the Sudanese people have endured multiple wars and devastating famine. More developed countries have attempted to exert long-term control of the area through conquest, social influence, financial constraints, and even in the form of humanitarian aid. Throughout these many hardships, the Sudanese have exhibited remarkable strength, resilience, and connectivity by relying on deeply entrenched social structures that allowed them to distribute food, transact goods, and remit monies across great distances. This paper demonstrates how these informal economic entities continually outperformed the larger, more advanced financial monetary systems throughout the 1980's and 1990's.

In the early twentieth century, the Sudan region was ruled jointly by Egypt and the United Kingdom. In 1956, a treaty granted sovereignty to the Republic of Sudan. Following independence, the Sudanese people experienced a myriad of tragedies. This newly independent nation featured a stark divide between the much wealthier northern region and the far less developed southern region. (Council on Foreign Relations, n.d.) The population of the north was comprised of a majority of Arabs and Muslims. In contrast, the South was home to a greater number of Christians or Animists.

The decade between 1983 and 1993 was rich with strife and chaos. The Civil War escalated after the breakdown of the Addis Ababa Agreement. The military coup of 1989 brought Brigadier Omar al-Bashir to power. The second civil war occurred between 1983 and 2005. During this tumultuous period, the Sudanese government continued to be recognized as a sovereign nation. “However, Sudan during this period exemplified what scholars call”juridical” rather

than “empirical” statehood—recognized internationally as a sovereign state but lacking the capacity to effectively govern.” (Englebert & Dunn, 2019). The Sudanese state did poorly at “coordinating collective action, reducing transaction costs, providing stable property rights, and offering basic services” (Englebert & Dunn, 2019, p. 51). These macroeconomic failures of government created a vacuum that provided space for informal economic institutions to grow and flourish.

In addition to killing two million people, the second civil war plunged the country into an extensive famine. The civil war brought with it massive destruction, displaced population, and disrupted trade routes. This level of chaos could easily paralyze the economy, yet the Sudanese once again adapted. They created new trade routes, transitioned employment to information channels, and developed mechanisms for operating in an unstable, ever-changing nation.

In response to the famine, international humanitarian aid brought food distribution networks, refugee camps, and development programs into Sudan. Large-scale financial systems also expanded in the country. Humanitarian food organizations and financial interventions were expected by many outsiders to modernize and replace long-standing, informal, locally based entities, which never materialized.

The primary informal system of payment transfers occurred through what were called hawala networks. This system was controlled through a vast network of “hawaladars” which served as local financial brokers. Through a single phone call, a hawaladar could contact a fellow broker in another area to complete a transaction, with the debt cleared later through formal or informal exchange of currency or goods (El Qorchi et al., 2003). Hawaladars were trusted members of society. They knew the individuals who utilized their services personally, removing the need for identification and paper contracts. The hawaladars were part of a multi-nation interweaved network that extended far beyond Sudan to the Middle East, India, North Africa, and the Horn of Africa.

From 1983-1993, the Sudanese government imposed policies that inadvertently served to strengthen informal monetary channels. Policies significantly increased the gap between official exchange rates and black markets. This pushed people to utilize informal or black-market services, which were far more affordable, in addition to offering greater efficiency.

Transactions completed through formal international banking systems could take days or even weeks. This network was laden with regulatory requirements, costly overhead, and oversight. It also required users to provide adequate identification and be capable of completing laborious

paperwork beyond the skill level of many of the indigenous people. The brick-and-mortar nature of international banks limited their number of locations to urban areas and restricted access to those living in more remote regions.

“Between 1970 and 1989, only 23 percent of Sudan’s remittances flowed through official channels” (Elbadawi, 1994). In the 1970’s labor migration expanded to the Gulf states after the 1973 oil boom (Elbadawi, 1994). Later both the civil war and ensuing famine forced nationals out of the country and into neighboring countries for safety and work. “In the mid-1980s, about 350,000 Sudanese expatriates in the Gulf earned a total income equivalent to roughly sixty per cent of Sudan’s GDP.” (de Waal, 2005) “Contrary to official statistics, Sudan was awash in foreign exchange, sent home through private and informal channels.” (de Waal, 2005) Informal remittance channels “averaged more than \$1 billion per annum throughout the 1980’s” (Brown, 1992).

In addition to Hawaladars, the Sudanese people also utilized local financial organizations called sanduks. These could be described as “rotating savings and credit associations.” (Kimuyu, 1999). Sanduks allowed locals to pool their funds and extend credit to one another at an agreed upon interest rate. Like the Hawaladars, sanduks operated in small villages and remote areas not served by the larger financial institutions. Sanduks also allowed women to utilize their services, unlike the traditional financial entities, which often restricted access to only males. Providing women the opportunity to access capital and start new businesses benefited the community by increasing commerce and funneling additional money into the local communities. Sanduks provided a financial safety net for those who fell on hard times and created a safe place to build community through shared ventures.

Historically, the Sudanese had operated local markets called Suqs where individuals could purchase needed local produce, non-food items, and other daily necessities. While the staple grains distributed by formal humanitarian aid channels were much needed, they ran parallel to the long-standing Suq’s rather than replacing them. Refugee camps and NGOs could only operate a limited number of sites, whereas Suq’s served a broader swath of the total population and offered a wider range of goods. The Suqs represented more than mere marketplaces; they functioned as social institutions where community networks were maintained, and information was exchanged.

Suqs were also able to access goods that were not available through formal channels during the civil war. As governmental channels broke down, Suqs facilitated cross-border trade, both

legal and illegal, to supply needed goods and essential items to communities across the country. While not contained by governmental oversight, they observed their own rules, norms, and enforcement.

The experience of the Sudanese from 1983 to 1993 demonstrates how informal economic institutions can maintain and thrive in fragile states even with an influx of external economic interventions. Hawala networks, Suq markets, and traditional financial systems did not collapse under the weight of humanitarian aid. Instead, they adapted, specialized, and continued offering practical services that formal systems could not replicate. This informal economy represented a far more advanced system than traditional “black markets,” which are generally chaotic and disorganized. In Sudan, the informal channels offered a parallel opportunity with greater stability than formal institutions.

The organizational skill and adaptability of informal systems extended to employment. El Amin’s (2003) research documents that the informal sector became the majority employer in urban areas by the early 1990s, with 50% of all employment being derived from informal systems. This employment dominance is not a result of collective economic collapse, but rather a creative strategy that sustained economic viability for millions of people through alternative means. Amin saw these strategies demonstrating what one might term “adaptation = dominance = resilience.” (El Amin, 2003)

Three key factors worked together to sustain the continued success of the hawaladar network, sanduks, and Suqs. Functional specialization was the first key factor. These small independent entities could adapt to serving the specific needs of the communities rather than attempting to compete with the services of big financial institutions. The second factor was superior service delivery. These local entities understood the people and communities they served. This trust also provided social capital strengthened by the interconnectedness of kinship and shared experience. Distributive advantages such as speed and reach are the third factor impacting their success. Additionally, the Sudanese government implemented policies that benefited informal channels. All three of these local entities could react more quickly and reach remote areas, unlike their larger competitors. Rather than retreat, the international institutions remained, and their services were utilized by businesses and individuals in urban areas.

At their core, informal institutions depend on social capital: trust, mutual obligation, and flexible group adaptation. This social capital could never be accessed by big international

companies. In Sudan, reciprocal arrangements among merchants, families, and diaspora networks shielded individuals from risk and insured even the poorest against total loss.

The resilience of the informal systems allowed the Sudanese people to maintain a certain level of independence in a time of continued governmental instability. Even when ruling authorities attempted to crack down or control informal systems, they adapted and persevered. Throughout decades of instability, the Sudanese people had continually evolved systems that provided for their well-being without the need for any governmental authority. This represents what African politics scholars have identified as the fundamental challenge to the state-centric model: “personal networks of rule” (Medani, 2022) and “shadow states” (Medani, 2022) can operate effectively “behind the facade of formal statehood” (Medani, 2022) regardless of which faction controls the government.

This resilience also speaks to a broader theoretical debate about the appropriate scale of governance for humanitarian intervention. State-centric frameworks, which prioritize national institutions as the primary organizing unit for development and aid, are often criticized for their limitations in conflict settings where the state itself is predatory or absent. Yet the Sudanese experience suggests that the relevant alternative is not global governance but rather local institutional capacity.

The hawala networks, sanduk associations, and suq markets examined here operated through trust, kinship, and community reciprocity — mechanisms that are structurally compatible with a responsive state apparatus but fundamentally incompatible with the standardized procedures of international organizations. Global frameworks demand formal compliance, institutional uniformity, and bureaucratic accountability; informal systems operate through flexibility, personal obligation, and adaptive trust. The implication is that state-centric models, despite their limitations, remain closer in structure and logic to the community-level systems that actually sustained Sudanese livelihoods than any global governance alternative.

These dynamics have implications that reach far beyond the 1983-1993 Sudan experience. It challenges assumptions embedded in humanitarian aid design that more developed nations and international aid organizations traditionally have viewed informal institutions as inefficient and unorganized. It is believed that formal systems can modernize and improve quality and efficacy. The Sudan experience rather demonstrated that informal institutions provide critical communal infrastructure rooted in history and trusted by the people. Beyond these deep roots, these systems in Sudan proved to be more flexible, resilient, efficient, and

cost-effective. Humanitarian policy should consider greater efforts to build on top of existing informal systems rather than replace them with less efficient, more expensive, and less trusted formal entities.

Theoretical implications derived from decades of Sudanese experience suggest that informal and formal channels should be merged into one cohesive, economic structure. A fundamental shift must occur to treat both informal and formal actors as equals; the Hawala Network, Suq markets, and traditional exchange systems need to be recognized as legitimate entities. This integration offers concrete advantages: cost reduction through the elimination of redundant efforts, faster distribution by utilizing existing informal structures, and greater sustainability when external supports strengthen rather than replace what already works. Trust is built when external organizations partner with the community rather than attempting to circumvent it, and collaboration preserves the social capital already embedded in traditional systems. Historically, when humanitarian aid is withdrawn, communities that retained their informal structures recovered far more effectively than those whose local systems had been displaced.

Politically, integration reduces the perception that outside formal systems are imposing their values and goals on local communities and validates the importance of local expertise. Given that the state has often been seen as either predatory or absent, this trust-building is paramount to establishing partnerships. In practice, this means contracting with hawala networks for aid distribution, partnering with suq markets for supply chain management, and enlisting sanduks to create community-level programming — engaging the social capital already embedded within local channels to create community buy-in.

Success would need to be measured through far different metrics. Rather than reviewing formal economic growth, stakeholders could seek to measure success through integration metrics. Statistics could track the volume of aid moving through informal channels and the number of formal/informal partnerships created. Another critical metric would be to analyze how these hybrid systems operate under times of duress or governmental upheaval. The parallel approach has failed Sudan repeatedly. Integration offers a more promising way forward.

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